BOARD OF DIRECTORS

Q2 2026 Performance & Strategy Pack

NexusAI Pilot Client — Digital Banking Division

June 24, 2026 | Strictly Confidential — Board Use Only

1. Financial Performance — Q2 2026

Q2 2026 delivered revenue of **$18.4M**, up 12% year-on-year but 4% below the revised budget of $19.1M. Net profit after tax was **$2.8M**, representing a net margin of 15.2% against a target of 18%. Margin compression is driven by higher operational costs from the middleware incident and increased support volume. The Board should note this is the third consecutive quarter of margin decline, from 21% in Q4 2025.

Metric	Q2 2025	Q1 2026	Q2 2026	Budget	Variance
Revenue ($M)	$16.4M	$17.9M	$18.4M	$19.1M	-$0.7M
Net Profit ($M)	$3.6M	$3.1M	$2.8M	$3.4M	-$0.6M
Net Margin	22.0%	17.3%	15.2%	18.0%	-2.8pp
Cost-to-Income	58%	64%	68%	60%	+8pp
Transaction Revenue	$7.1M	$8.2M	$8.9M	$9.0M	-$0.1M
Fee Income	$6.2M	$6.8M	$6.4M	$7.1M	-$0.7M
Interest Income	$3.1M	$2.9M	$3.1M	$3.0M	+$0.1M

1.1 Revenue Bridge Q1 to Q2 2026

Revenue grew $0.5M QoQ. Growth drivers: P2P transfer volume (+$0.7M contribution), international remittance growth (+$0.4M). Offsetting declines: fee income fell $0.4M due to promotional pricing on bill payments, and payment failure incidents caused an estimated $0.2M in waived charges. The net promotion cost of $0.4M was not in the Q2 budget and explains the majority of the revenue miss.

1.2 Cost Escalation — Operational Risk

The cost-to-income ratio has risen from 58% (Q2 2025) to 68% (Q2 2026). Two structural drivers: (1) Headcount increased by 34 FTE year-on-year, primarily in technology and compliance. (2) Third-party vendor costs increased 28% following renegotiations that were less favorable than budgeted. The Board is asked to note that without the middleware incident costs ($0.3M), the CIR would have been 66% — still above target but representing a more manageable trend.

2. Strategic Priorities Update

2.1 Digital Onboarding Enhancement — ON TRACK

The enhanced digital onboarding module launched May 10, 2026. Early results are encouraging: account opening completion rate increased from 61% to 74%, and average onboarding time reduced from 8.2 minutes to 4.7 minutes. May 2026 new accounts of 9,100 represent the highest monthly figure in company history. The Board approved $1.2M for this initiative in Q4 2025; spend to date is $0.9M (75%). Remaining budget will fund the biometric verification upgrade scheduled for Q3 2026.

2.2 GCC Expansion — DELAYED

The GCC expansion initiative (Saudi Arabia, UAE, Oman) is 6 weeks behind the original plan. Root cause: the SAMA (Saudi Central Bank) licensing application requires additional documentation on AML governance, which the compliance team is preparing. The UAE CBUAE application is progressing normally. Oman has been deferred to 2027 to focus resources. The Board should be aware that the original 2026 revenue contribution of $1.8M from GCC is unlikely to be achieved; revised forecast is $0.4M (UAE only, partial year). The strategic rationale for the expansion remains sound.

2.3 Payments Infrastructure Upgrade — AT RISK

The core banking middleware upgrade, critical to enabling real-time payment rails and reducing operational cost per transaction, is now 6 weeks overdue. The vendor (TechCore Systems) has attributed the delay to a third-party security certification that has not been received. The Board is asked to note: if this delay extends beyond July 15, the upgrade will be deferred to Q1 2027 to avoid conflicts with year-end system freezes. The contingency plan (rollback to v2.1) has been approved at management level; Board visibility is appropriate given the materiality of the delay.

2.4 SME Banking Product — NEW INITIATIVE

Management proposes to launch an SME digital banking proposition in Q4 2026, targeting businesses with annual turnover of $500K–$10M. The business case projects $3.2M incremental revenue in year one, reaching $8.5M by year three. Investment required: $2.1M (product, technology, and compliance). The Board is asked to provide in-principle approval to proceed to detailed business case development, with a full investment proposal to be presented at the September 2026 Board meeting.

3. Board Risk Dashboard

Risk Item	Category	Rating	Trend	Owner
Payment success rate below 99% target	Operational	HIGH	WORSENING	CTO
Net margin compression (3 quarters)	Financial	HIGH	WORSENING	CFO
AML false positive rate at 23%	Compliance	MEDIUM	STABLE	CCO
GCC expansion SAMA licensing delay	Strategic	MEDIUM	WORSENING	CEO
Middleware upgrade 6 weeks overdue	Operational	HIGH	WORSENING	CTO
Central Bank liquidity report deadline	Regulatory	HIGH	NEW	CFO
KYC vendor contract above market rate	Financial	MEDIUM	STABLE	COO
Agent banking KYC refresh overdue	Compliance	MEDIUM	WORSENING	CCO

Overall Risk Rating: HIGH. Four items are rated HIGH severity, up from two in Q1 2026. The concentration of operational and regulatory risk items is a concern the Board should address in the June 24 Risk Committee agenda. Management will present a 90-day remediation roadmap.

4. Matters Requiring Board Decision

Resolution 1: Middleware Contingency Plan Approval

Management requests Board approval for the middleware upgrade contingency plan: if TechCore Systems does not deliver the certified release by July 15, 2026, the project will be deferred to Q1 2027 and the system will remain on v2.1. This decision requires Board approval as it materially affects the 2026 technology roadmap and has a cost implication of approximately $180,000 in delayed efficiency savings.

RECOMMENDATION: Approve contingency plan.

Resolution 2: SME Banking In-Principle Approval

Management requests in-principle approval to proceed to a full business case for the SME banking proposition, with a budget of $80,000 for the business case development phase (market research, technology scoping, regulatory assessment). Full investment decision to be made at the September 2026 Board meeting.

RECOMMENDATION: Approve in-principle, subject to full business case in September.

Resolution 3: KYC Vendor Renegotiation Authority

Management requests authority to conclude the KYC vendor contract renegotiation at a value not exceeding the current contract rate ($1.4M annually), with a target of achieving market rate ($1.0M annually). The Board previously approved vendor renegotiation in principle in March 2026; this resolution provides the commercial authority to sign the amended contract.

RECOMMENDATION: Approve with authority to CFO and COO to execute jointly.